

Hearing: Holliday Rock Co., Inc.'s Demurrer to Second Amended Complaint

Date: September 17, 2026

TENTATIVE RULING

On August 14, 2025, Robert and Mardell Perez, individually and as trustees of The Robert Perez and Mardell Perez Revocable Family Trust dated June 5, 2025 (Plaintiffs) filed a complaint against Jaax Concrete, Inc. (Jaax), Holliday Rock Co., Inc. (Holliday), Gifford Matt Painting, LLC, dba MGP Coating, and North River Insurance, Inc. The dispute arises from agreements to perform work on Plaintiffs' residence and to supply materials.

A First Amended Complaint (FAC) was filed on September 16, 2025. Jaax demurred and moved to strike the punitive damages claim in the FAC. After hearing, the demurrer was overruled. (04/02/26 Minutes.) Holliday Rock also demurred to the FAC. After hearing, the demurrer to the FAC was sustained with leave to amend. (04/09/26 Minutes.)

Plaintiffs filed a Second Amended Complaint (SAC) on April 17, 2026, alleging nine causes of action: 1) breach of written contract; 2) breach of a contract implied in fact; 3) declaratory relief; 4) negligent misrepresentation; 5) claim against contractor's bond; 6) unfair business practice pursuant to Business and Professions Code section 17200, *et seq.*; 7) negligence; 8) breach of the implied covenant of good faith and fair dealing; and 9) violation of Business and Professions Code section 7159.

Before the court is Holliday's Demurrer to the SAC. The Demurrer is overruled.

I. LEGAL STANDARD

A demurrer challenges only the defects that appear on the face of the pleading under attack, or from matters outside the pleading which are subject to judicial notice. (Code Civ. Proc., § 430.30, subd. (a).) When reviewing a demurrer, a court must draw all reasonable inferences in favor of the plaintiff. (*Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1239.) "The facts alleged in the pleading are deemed to be true, however improbable they may be." (*Berg & Berg Enterprises, LLC v. Boyle* (2009) 178 Cal.App.4th 1020, 1034.) A demurrer must be overruled if the plaintiff has stated a cause of action under any possible legal theory. (*Hale v. Sharp Healthcare* (2010) 183 Cal.App.4th 1373, 1379.)

II. DISCUSSION

A. Seventh Cause of Action: Negligence

Holliday demurs to the seventh cause of action on the ground that the SAC does not state facts to allege a cause of action for negligence.

To state a cause of action for negligence, the plaintiff must allege (1) the defendant owed him or her a legal duty; (2) the defendant breached that duty; and (3) the defendant's breach caused, (4) the plaintiff's damages or injuries. (See *Ladd v. County of San Mateo* (1996) 12 Cal.4th 913, 917.) The existence of duty is a question of law for the court. (*Kentucky Fried Chicken of Cal., Inc. v. Superior Court* (1997) 14 Cal.4th 814, 819.)

The SAC alleges that Holliday "provided defective supplies and/or material for the Work including but not limited to contaminated concrete." (SAC, ¶ 53.) Holliday "knew that the Defective Materials would be used by individuals including but not limited to the Plaintiffs." (SAC, ¶ 54.) Holliday "owed a duty of care to the Plaintiffs to provide materials and/or supplies for the Work that would be fit for its intended use." (SAC, ¶ 55.) Holliday "was provided money for the Defective Materials." (SAC, ¶ 56.) "Holliday's Defective Materials have caused property damage to the Property and/or deprived the Plaintiffs of the use and/or enjoyment of parts of the Property." (SAC, ¶ 57.) "It was reasonably foreseeable to the Defendant Holliday and/or a reasonable person that the Plaintiff would suffer damages and harm given the Defective Materials." (SAC, ¶ 58.)

Holliday argues that Plaintiff does not allege an independent tort duty; that the economic loss rule bars Plaintiff's negligence claim; and that the SAC does not plead a special relationship exception to the economic loss rule.

1. **Economic Loss Rule – No "Other Property Damage" Plead**

Holliday contends that there is no recovery in tort for purely economic losses. Holliday argues that "Plaintiff claims economic damages for 'repairing and/or redoing the Work and property damage to the Property' without alleging any facts as to the damage to the Property aside from the Work itself. SAC ¶ 57. Plaintiff merely recites a claim of damage to the Property and/or deprivation of the loss and/or enjoyment of parts of the Property without articulating the ultimate facts required to identify a loss that would sound in tort." (Mot., p. 7, ll. 2-6.)

Plaintiffs disagree. Plaintiffs argue that the economic loss doctrine does not apply because Plaintiffs allege that "Holliday's Defective Materials have caused property damage to the Property and/or deprived the Plaintiffs of the use and/or enjoyment of parts of the Property. SAC ¶ 57. There is no contractual claim against the Defendant." (Opp. p. 4, ll. 18-21.)

"Under the economic loss rule, a plaintiff cannot recover economic damages resulting from negligence without a physical injury to a person or property. The economic loss rule applies both in strict products liability and negligence actions. Accordingly, in actions arising from the sale or purchase of a defective product, plaintiffs seeking economic losses must generally be able to demonstrate that *either physical damage to property, other than the defective product itself*, or personal injury accompanied such losses; if they cannot, then they would be precluded from any tort recovery in negligence." [emphasis added.] (50A Cal.Jur.3d (2026) Negligence Cause of Action for Injuries from Defective Products in General, § 23.)

"[A] homeowner may not recover in tort, i.e., negligence or strict liability, for construction defects except insofar as they have caused property damage (to *property other than the defective product itself*) or personal injury. Purely economic losses, e.g., the cost to repair or replace the defective

product, are recoverable only under contract or warranty law. [Citations.]” [emphasis added.] (*Mills v. Forestex Co.* (2003) 108 Cal.App.4th 625, 636, fn. 3.) “In summary, the economic loss rule allows a plaintiff to recover in strict products liability in tort when a product defect causes damage to ‘other property,’ that is, property *other than the product itself*.” (*Jimenez v. Superior Court* (2002) 29 Cal.4th 473, 483.)

Here, the SAC only alleges “damage to the Property.” (SAC, ¶¶ 52, 57.) Standing alone, and without facts differentiating from the alleged defective concrete work, this allegation does not plead damage to “other property” apart from the “concrete work” itself. (See SAC, ¶ 9 [“concrete work”].) Accordingly, the SAC only alleges economic loss, as the SAC does not plead damage to “other property.”

2. Independent Duty under *Biakanja*/Special Relationship

Where economic damages are claimed, courts consider the factors set forth in *Biakanja v. Irving* (1958) 49 Cal.2d 647, 650–651 (*Biakanja*) in determining whether a duty of care exists between a plaintiff and a defendant in the absence of privity. (*J’Aire Corp. v. Gregory* (1979) 24 Cal.3d 799, 804; *Southern California Gas Leak Cases* (2017) 18 Cal.App.5th 581, 588.)

In permitting negligence liability to be imposed in the absence of privity, we outlined the factors to be considered in making such a decision: “The determination whether in a specific case the defendant will be held liable to a third person not in privity is a matter of policy and involves the balancing of various factors, among which are the extent to which the transaction was intended to affect the plaintiff, the foreseeability of harm to him, the degree of certainty that the plaintiff suffered injury, the closeness of the connection between the defendant’s conduct and the injury suffered, the moral blame attached to the defendant’s conduct, and the policy of preventing future harm.”

(*Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 397; citing *Biakanja, supra*; see also *Beacon Residential Community Assn. v. Skidmore, Owings & Merrill LLP* (2014) 59 Cal.4th 568, 578.)

Plaintiffs acknowledge that there is no contractual claim against Holliday. (Opp., pp. 4, ll. 20-21; 5, l. 16.) Holliday appears to concede that the parties are not in privity because Plaintiffs do not have a contractual claim against Holliday. (See Reply, p. 7, ll. 18-23 [addressing why there is no duty for a breach of the implied warranty of fitness for a particular purpose].)

Plaintiffs argue that “to the extent Defendant argues the alleged loss is purely economic, the SAC alleges facts supporting a special relationship: see SAC ¶¶ 53 to 61. Those allegations are sufficient at the pleading stage to defeat Defendant’s categorical economic-loss argument.” (Opp., p. 6, ll. 5-8.) Holliday disagrees that the SAC alleges facts to support the existence of a “special relationship” that rises to a negligence claim for purely economic harm.

Reviewing the allegations of the SAC, accepting the well-pleaded facts as true, and drawing reasonable inferences in favor of Plaintiffs, the Court finds that Plaintiffs have sufficiently alleged facts at this stage showing that the transaction was intended to affect Plaintiffs, that it was

foreseeable and certain that providing contaminated materials would cause harm to the Plaintiffs, and that Holliday's alleged actions directly caused the Plaintiff's damages. (SAC, ¶ 53 ["Holliday provided defective supplies and/or material for the Work including but not limited to contaminated concrete"], ¶ 54 ["Holliday knew that the Defective Material would be used by individuals including but not limited to the Plaintiffs"]; ¶ 57 ["Holliday's Defective Materials have caused property damage to the Property and/or deprived the Plaintiffs of the use and/or enjoyment of parts of the Property"].) Thus, Plaintiffs have sufficiently alleged a special relationship excepting it from the economic loss rule, and that Holliday owed Plaintiffs a duty in tort.

Accordingly, the demurrer to the seventh cause of action is overruled.

ORDER (PROPOSED)

For the foregoing reasons, the demurrer to the seventh cause of action is overruled.

Holliday shall file and serve their Answer within ten (10) days of service of the notice of ruling. (Code Civ. Proc., § 472b; Cal. Rules of Court, rule 3.1320(g), (j).) Plaintiffs are to serve the notice of ruling. (Code Civ. Proc., § 1019.5, subd. (a).)